Unlocking Climate Finance: Fiscal Decentralization and National Support for South African Cities

Executive Summary

South Africa has experienced a 1.2°C rise in mean annual surface temperatures relative to pre-industrial baseline, with the six hottest years on record occurring in the past decade. Climate impacts include multi-year droughts, intensifying floods, and marine heatwaves affecting coastal cities.[1]

South Africa's metropolitan municipalities stand on the frontlines of climate change, yet they cannot access the international climate finance that exists to support them. Multilateral development banks collectively offered USD 125 billion in climate financing in 2023, which African cities regularly secure financial support from for urban climate projects.[2] In 2012, Dakar accessed World Bank financing to build climate-resilient infrastructure including flood management systems that now protect over 150,000 people.[3] Dakar has since continued to receive World Bank financing due to successful projects and relationship building. But South African municipalities are locked out of these resources because they lack fiscal decentralization to control their own revenues and develop independent projects, and because the national government does not actively support municipal access to development banks.

Without access to climate finance, South African metros cannot build the infrastructure needed to protect their populations from intensifying heat stress, flooding, and water scarcity. Vulnerable communities face the most severe climate impacts while municipalities lack the resources to respond.

This brief recommends that the President advance fiscal decentralization, empowering mayors to control property tax revenue, issue municipal bonds, and develop independent climate projects. Alongside this, the national government should provide guarantees on municipal debt, technical assistance for project development, and coordination with multilateral development banks. Together, these measures will enable South African metros to access international climate finance, implement critical resilience infrastructure, and establish cities as sovereign partners in the global climate economy.

Description of the Problem

The Adaptation Finance Gap and Available International Capital

Cities are the frontline of climate adaptation: they concentrate population, infrastructure, and economic activity most exposed to climate hazards. Yet adaptation finance is critically underfunded. Of South Africa's tracked annual climate finance of R131 billion, only 12% (R16 billion) supports adaptation, while 81% (R105 billion) targets mitigation. This imbalance is severe: across Africa, adaptation receives 39% of climate finance, more than three times South Africa's share. South Africa requires R334–535 billion annually to meet its net-zero goal by 2050 and Nationally Determined Contribution targets by 2030, roughly a financing gap of R200 billion or more annually.[4]

However, international climate finance is available. Multilateral development banks collectively provided USD 125 billion in public climate finance in 2023, with 60% directed to low- and middle-income countries.[2] The Development Bank of Southern Africa, accredited to major climate funds, actively channels finance to municipalities, private companies, and NGOs.[5] Other African nations have successfully accessed this capital: Rwanda has integrated municipal financing into its climate strategies; Ethiopia restructured municipal property taxation to improve MDB relationships; and countries across the continent regularly secure development bank support for urban climate projects.[6]

The problem is not that capital is unavailable, it's that South African cities cannot access it.

The Structural Barriers: Decentralization Deficit and Absent National Support

South African cities face two structural barriers preventing access to available MDB financing.

1. Lack of Fiscal Decentralization

Although municipalities have constitutional authority over local services, they control minimal independent revenue sources. Most funding derives from national transfers and conditional grants, which limits their ability to develop independent climate projects or demonstrate autonomous financial commitment. Mayors cannot set property tax rates without national approval, cannot issue bonds, and cannot develop projects independently for external financing. This centralized control means cities cannot function as autonomous project developers, which is a prerequisite for MDB partnerships.[7]

A landmark study analyzing 815 urban climate projects from 10 major MDBs found that only 21% of MDB financing reaches urban-related projects despite rapid urbanization. Common barriers for low- and middle-income countries include "limited fiscal decentralization, revenue uncertainty, and restricted access to capital markets."[7] South Africa exemplifies this pattern. Cities possess the constitutional responsibility for climate adaptation but lack the fiscal authority to exercise autonomous leadership.

2. Absent National Government Support for Municipal Finance Access

Beyond decentralization, MDB financing requires active national government partnership. Successful municipal access to development bank resources depends on national guarantees underwriting municipal debt, dedicated technical assistance for project preparation and MDB navigation, and government coordination establishing municipal relationships with development banks.

South Africa's national government does not systematically provide these supports. While the Development Bank of Southern Africa exists as a channel to international finance, municipalities lack dedicated support structures for project preparation, do not benefit from national guarantees on municipal borrowing, and lack coordinated national advocacy within MDB relationships. In contrast, countries like Rwanda have explicitly integrated municipal climate financing into national strategies, with government actively supporting city access to development banks.[6]

The result is that available international capital flows past South African cities because the structural foundation and national partnership required for municipal access do not exist.

Real Consequences: Stalled Climate Infrastructure

Johannesburg, South Africa's economic center, faces "significant growth pressures, increasing water demands, informal development, high economic inequality, pollution and environmental degradation, flash flooding, dilapidated infrastructure, delays in the development of new water infrastructure, fragmented governance and limited financial capacity."[8] Climate projects like the Jukskei River restoration depend entirely on international grant funding because the city lacks fiscal authority to develop independent projects or access development bank loans.[9]

Overview of Research

Evidence from international climate finance, municipal finance literature, and comparative cases demonstrates that fiscal decentralization paired with active national government support enables cities to access available multilateral development bank financing and implement climate-resilient infrastructure.

Research from the Climate Policy Initiative documents that South Africa's municipal spending on climate adaptation is "largely missing due to lack of project-level tagging," indicating that cities lack institutional independence to develop discrete climate projects.[4] The Development Bank of Southern Africa operates as a successful intermediary, demonstrating that MDB financing mechanisms exist and function. The barrier is structural access, not capital availability.[5]

Comparative evidence from Rwanda and Ethiopia shows that municipal access to development bank financing increases when national governments integrate municipal climate finance into national strategies and provide active support. Rwanda has explicitly designed municipal financing pathways within its climate strategies. Ethiopia restructured municipal property taxation to improve institutional relationships with development banks.[6]

Current and Proposed Policies

Current Framework: Constitutional Responsibility Without Fiscal Decentralization or National Support

South Africa's Constitution and Municipal Systems Act assign local authorities responsibility for water, sanitation, waste management, and local economic development, domains essential for climate adaptation. However, this legal authority is decoupled from both fiscal decentralization and national support for municipal finance access.

Municipalities control property tax administration in theory but face de facto national control. Mayors cannot set rates without national approval, cannot implement innovative revenue mechanisms, cannot issue bonds independently, and cannot develop projects autonomously. The national government retains control over municipal fiscal relationships with international financiers through the Development Bank of Southern Africa.

While the Development Bank of Southern Africa exists as a financing channel, municipalities lack dedicated support navigating that channel or preparing projects for external finance. There are no dedicated structures for municipal project preparation that meet MDB standards, no national guarantees underwriting municipal debt, no coordinated advocacy with development banks, and no integration of municipal climate finance into national climate strategies.

Proposed Policy: Fiscal Decentralization Plus Enhanced National Support

The proposed policy advances fiscal decentralization in four integrated areas, paired with enhanced national government support. Decentralization transfers power to cities while national support ensures cities exercise that power effectively. Neither alone is sufficient.

1. Mayoral Revenue Authority and Property Tax Control

Grant mayors explicit authority to set property tax rates within defined parameters (5 to 15% annual increases) without national approval and to retain 100% of property tax revenue for municipal operations and climate infrastructure. Property taxes generate steady revenue streams essential for municipal financial stability and demonstrated commitment to revenue mobilization.[6]

National support component: The National Treasury provides technical assistance for property tax administration and collection optimization. The government funds public communication campaigns explaining how property tax revenue directly funds climate infrastructure, including flood protection, water security, and green space.

2. Municipal Bond Authority and Shared Risk

Grant municipalities explicit authority to issue green bonds for climate-resilient infrastructure, with transparent environmental and financial criteria. The government provides national guarantees on first municipal green bond offerings, reducing borrowing costs and demonstrating shared commitment to municipal climate finance. National government guarantees the initial offering to establish municipal presence in capital markets, then gradually withdraws as market confidence builds.[6]

National support component: National Treasury and DBSA jointly establish environmental and financial standards. The government guarantees first-loss positions on pilot offerings and the Treasury provides capacity-building for municipal finance teams.

3. Direct Municipal Access to Development Banks with National Backing

Establish direct municipal access to multilateral development bank financing, with the national government providing dedicated support. Currently, cities cannot directly access development banks because national government controls these relationships.[5]

National support component: Presidential Climate Commission establishes formal coordination mechanism between municipalities and MDBs. The government provides dedicated liaison officers supporting municipal MDB relationships. National Treasury coordinates with international development finance institutions, positioning South African cities as priority partners.

4. Municipal Climate Project Preparation and Technical Support

Fund dedicated municipal climate project preparation units within metropolitan areas, with support from national and international partners. Cities need technical expertise to develop projects meeting MDB standards, including feasibility assessment, environmental impact analysis, financial structuring, and risk mitigation.[7]

National support component: Presidential Climate Commission and Department of Water and Sanitation establish a dedicated project preparation fund. Government seconds technical experts to municipal project units. International partners, including AfDB, World Bank, and bilateral donors, co-fund capacity-building.

Policy Recommendations

Recommendation 1: Enact Mayoral Revenue Authority Legislation

Parliament should enact legislation granting municipalities explicit authority to set property tax rates (within 5 to 15% annual increases) without national approval and to retain 100% of property tax revenue. The National Treasury should establish transparent oversight ensuring fiscal sustainability without undermining municipal autonomy.

National support component: Treasury provides technical assistance for property tax administration and collection. The government funds public campaigns explaining the link between local taxation and visible climate outcomes, including flood protection, water security, and green infrastructure.

Implementation timeline: 2025 legislative passage, 2025 to 2026 municipal implementation support, 2026 to 2027 visible service delivery outcomes.

Recommendation 2: Authorize Municipal Green Bond Issuance with Government Guarantees

Parliament should enact legislation permitting municipalities to issue green bonds. The national government provides guarantees on first municipal green bond offerings, reducing borrowing costs and establishing municipal presence in capital markets.

National support component: National Treasury and DBSA establish green bond standards. Treasury provides first-loss guarantees on pilot offerings through a phased approach with 100% coverage year one, 75% year two, and 50% year three. The Treasury provides capacity-building for municipal finance teams.

Implementation timeline: 2025 to 2026 standards development, 2026 first municipal green bond issuance with government guarantee, 2027 to 2028 additional municipal offerings with reduced guarantee coverage.

Recommendation 3: Establish Coordinated National-Municipal MDB Partnership

The President should establish a formal coordination mechanism linking municipalities directly to multilateral development banks. The national government provides dedicated support including liaison officers, technical assistance, and advocacy for municipal project prioritization within MDB portfolios.

National support component: Presidential Climate Commission appoints dedicated liaison officers to each major MDB, including World Bank, AfDB, and European Investment Bank. These officers coordinate municipal project submissions, advocate for municipal prioritization, and provide technical guidance. National Treasury coordinates with bilateral development agencies, positioning South African cities as priority partners.

Implementation timeline: 2025 coordination mechanism established, 2025 to 2026 first municipal projects submitted through coordination, 2027 multiple municipal projects in MDB financing pipeline.

Recommendation 4: Fund Municipal Climate Project Preparation Units

The national government should allocate R500 million to R1 billion annually (2025 to 2030) to fund dedicated municipal climate project preparation units within the five metropolitan municipalities. These units, staffed with technical expertise and supported by national resources, enable cities to develop “bankable” projects meeting MDB standards.

National support component: Presidential Climate Commission and Department of Water and Sanitation jointly establish and fund project preparation units. Government seconds senior technical experts to municipal units. International partners, including AfDB, World Bank, and bilateral donors, provide co-funding and specialized expertise.

Implementation timeline: 2025 to 2026 unit establishment and staffing, 2026 to 2027 first projects developed and submitted, 2027 and beyond ongoing pipeline development.

Appendices

Appendix A: Case Study — The Jukskei River Restoration Project, Johannesburg

The Problem: Alexandra Township, home to over 1.2 million residents in Johannesburg's northern suburbs, faces severe climate vulnerability. The Jukskei River, which runs through the township, is heavily polluted with solid waste and invasive species, creating acute flood risk during heavy rainfall events. The situation reflects broader patterns where "significant growth pressures, increasing water demands, informal development, high economic inequality, pollution and environmental degradation, flash flooding, dilapidated infrastructure, delays in the development of new water infrastructure, fragmented governance and limited financial capacity" characterize Johannesburg's climate adaptation challenge.[8]

Why It Matters: Flooding in Alexandra disproportionately affects poor and informal settlements, destroying homes, livelihoods, and infrastructure. Climate projections show intensifying rainfall and flood risk across South Africa, making river management and flood resilience essential for urban survival and equity.

Current Status: The Scaling Urban Nature-based Solutions for Climate Adaptation in Sub-Saharan Africa (SUNCASA) project, funded with USD 22 million from Global Affairs Canada through the Partnering for Climate Initiative, is now supporting restoration of the Upper Jukskei River catchment. SUNCASA will remove invasive alien species, plant trees, rehabilitate riverbanks with indigenous species, and increase urban tree cover in Alexandra and inner Johannesburg. The project aims to benefit 1.045 million people by reducing flooding, improving urban heat management, and enhancing water security.[9]

The Constraint and Opportunity: SUNCASA depends on international grant funding because Johannesburg lacks fiscal decentralization and national support for independent project development. The city cannot develop additional river restoration projects, issue bonds for climate investment, or access development bank financing autonomously.

However, SUNCASA demonstrates that MDB-quality climate projects exist in Johannesburg, that international partners are ready to fund them, and that the city possesses technical capacity and community commitment. With fiscal decentralization and national government support, Johannesburg could leverage SUNCASA results to develop additional climate projects independently, secure green bond financing, access development bank resources directly, and scale river management across all of Johannesburg's hydrological catchments.

The resource constraint is not technical or financial. It is structural. SUNCASA shows what becomes possible when the structural barriers are removed.

Appendix B: African Countries' Access to MDB Climate Finance

Rwanda: Integrated municipal climate finance into national climate strategies and established explicit pathways for city access to development bank resources. The government actively coordinates municipal project submission to MDBs.

Ethiopia: Restructured municipal property taxation to improve institutional relationships with development banks and integrated cities into national climate finance planning.

Kenya, Uganda, Tanzania: Multiple metropolitan areas have secured MDB financing for urban climate projects, demonstrating that development bank capital is accessible to African cities when national structures and municipal capacity align.

South Africa possesses greater institutional capacity and formal financial markets than these comparative cases. With fiscal decentralization and active national support, South African cities can rapidly move from grant-dependent status to accessing the development bank capital already flowing to African municipalities.

Citations

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